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Theme 4.2 Development and Inequality — Edexcel B

1. Economic Growth vs Economic Development

Economic growth: An increase in the real GDP of an economy over time — a quantitative measure of increased output.

Economic development: A broader, qualitative concept encompassing improvements in living standards, well-being, freedom, education, health, and the reduction of poverty and inequality. Development includes growth but goes far beyond it.

A country can have economic growth without development — for example, if growth is concentrated among the wealthy, destroys the environment, or fails to improve health and education for the majority. Equally, some development improvements (e.g., better governance, women's rights) can occur without rapid GDP growth.

2. Indicators of Development

2.1 Single Indicators

Indicator	What It Measures	Strengths	Weaknesses
GDP per capita (PPP)	Average income per person, adjusted for purchasing power	Widely available, comparable, accounts for price differences	Ignores inequality, quality of life, environmental sustainability, informal economy

GNI per capita (PPP)	Average national income per person including income from abroad	Better for countries with large remittance or investment income flows	Same weaknesses as GDP per capita
Literacy rate	% of adults who can read and write	Direct measure of educational development	Does not capture quality of education; may be poorly measured
Life expectancy	Average years a newborn is expected to live	Good proxy for health system quality and nutrition	Affected by outliers (e.g., child mortality); does not capture quality of life
Infant mortality rate	Deaths of infants under 1 per 1,000 live births	Sensitive indicator of healthcare access and sanitation	Narrow measure — says nothing about adult health or education
Access to clean water	% of population with safe drinking water	Basic development need; affects health outcomes	Binary measure — does not capture water quality variation

2.2 Composite Indicators

Human Development Index (HDI)

HDI: A composite index developed by the UN, combining three dimensions: (1) health — life expectancy at birth, (2) education — mean years of schooling and expected years of schooling, (3) income — GNI per capita (PPP, logged). Scored from 0 to 1, with 1 being the highest level of development.

HDI Category	Score Range	Examples (2022)
Very High	0.800+	Switzerland (0.962), UK (0.929), USA (0.921)

High	0.700 - 0.799	Brazil (0.760), China (0.768), Mexico (0.781)
Medium	0.550 - 0.699	India (0.644), Bangladesh (0.670), Kenya (0.601)
Low	Below 0.550	Somalia (0.380), Chad (0.394), Niger (0.400)

Strengths and Weaknesses of HDI

- **Strengths:** Broader than GDP alone; simple and comparable; highlights countries where income growth has not translated into development (e.g., oil-rich states with low education/health).
- **Weaknesses:** Only three dimensions — ignores inequality, political freedom, environmental sustainability, gender equality, and security. Uses national averages — masks within-country inequality. Data quality varies. Does not capture informal economy or subjective well-being.

Other Composite Measures

- **Inequality-adjusted HDI (IHDI):** Adjusts the HDI downward based on inequality in each dimension. Countries with high inequality see a larger drop from HDI to IHDI.
- **Gender Inequality Index (GII):** Measures gender-based disadvantage in reproductive health, empowerment, and the labour market.
- **Multidimensional Poverty Index (MPI):** Measures overlapping deprivations across health, education, and living standards at the household level.

Case Study: Saudi Arabia — Growth Without Full Development

Saudi Arabia has a GDP per capita (PPP) of over $55,000 — among the highest in the world. However, its HDI (0.875) ranks significantly lower than many countries with lower incomes (e.g., Japan, 0.920, with lower GDP per capita). Saudi Arabia's development is limited by: restrictions on women's rights (though recent reforms have improved this), dependence on oil (limited economic diversification), a large migrant worker population with limited rights, and constraints on political freedom and civil liberties. This illustrates how income alone does not equal development.

3. Factors Affecting Development

3.1 Economic Factors

- **Savings and investment:** The Harrod-Domar model emphasises that growth requires investment, which requires savings. Many developing countries have low savings rates due to poverty, limiting investment and creating a poverty trap.
- **Primary product dependency:** Countries reliant on exporting a narrow range of commodities (oil, copper, cocoa) are vulnerable to price volatility and long-term declining terms of trade (Prebisch-Singer hypothesis).
- **Debt:** Many developing countries carry heavy external debt burdens — debt servicing diverts resources from health, education, and infrastructure.
- **Access to financial markets:** Underdeveloped banking systems and lack of access to credit prevent entrepreneurs from investing.
- **Infrastructure:** Poor roads, ports, electricity, and telecommunications raise costs and deter investment.

3.2 Non-Economic Factors

- **Governance and institutions:** Corruption, weak rule of law, insecure property rights, and political instability deter investment and waste resources. The World Bank's governance indicators show a strong correlation between institutional quality and development.
- **Geography and climate:** Landlocked countries, those in tropical disease zones, or those vulnerable to natural disasters face higher development costs.
- **Education and human capital:** Low levels of education reduce productivity and innovation capacity.
- **Health:** Disease burdens (malaria, HIV/AIDS, tuberculosis) reduce workforce productivity and divert government spending.
- **Conflict:** War destroys infrastructure, displaces populations, and diverts spending from development to military.
- **Demographics:** High population growth can outstrip economic growth, reducing GDP per capita. A high dependency ratio strains resources.
- **Gender inequality:** Excluding women from education and the workforce wastes half the potential human capital.
- **Colonial legacy:** Arbitrary borders, extractive institutions, and dependent trade patterns established during colonialism continue to affect development in many countries.

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Case Study: Sub-Saharan Africa's Development Challenges

Sub-Saharan Africa is the world's least developed region — home to 27 of the 32 countries classified as "low human development." The challenges are interconnected: weak governance and corruption (Transparency International ranks many African countries in the bottom quartile); debt burdens (many spent more on debt servicing than healthcare before the HIPC initiative); disease (Sub-Saharan Africa has 11% of the world's population but 60% of HIV-positive people); conflict (over 20 armed conflicts active in 2023); poor infrastructure (only 25% of roads are paved); and primary product dependency (oil, minerals, and agricultural commodities dominate exports). However, some countries show that these challenges can be overcome — Rwanda has achieved rapid growth and development through strong governance and investment in education and technology.

4. Strategies for Promoting Development

4.1 Market-Oriented Strategies

Trade Liberalisation

Reducing tariffs and trade barriers to integrate into the global economy. Benefits include access to larger markets, technology transfer, competitive pressure driving efficiency, and specialisation based on comparative advantage.

Evaluation: Trade liberalisation has contributed to rapid growth in East Asia (South Korea, China, Vietnam). However, it can destroy infant industries, increase vulnerability to global shocks, and widen inequality if gains are concentrated among elites. The sequencing matters — liberalisation works best alongside strong institutions and gradual reform.

Attracting Foreign Direct Investment (FDI)

Encouraging multinational corporations to invest by offering tax incentives, special economic zones, infrastructure, and a stable business environment. FDI can bring capital, technology, management skills, and access to global supply chains.

Evaluation: FDI can create jobs and transfer technology, but profits may be repatriated rather than reinvested locally. MNCs may exploit cheap labour and weak environmental regulations. Transfer pricing can reduce tax revenue for the host country. Benefits depend heavily on the regulatory framework and bargaining power of the host government.

Microfinance

Providing small loans to individuals and small businesses who lack access to traditional banking. Pioneered by Grameen Bank in Bangladesh (founded by Muhammad Yunus, Nobel Peace Prize 2006).

- **Benefits:** Enables entrepreneurship, empowers women (the majority of borrowers), helps people escape poverty traps.
- **Limitations:** High interest rates compared to conventional banking; some borrowers take multiple loans and fall into debt traps; limited evidence of transformative impact on wider economic development; works best alongside education and infrastructure.

4.2 Interventionist Strategies

Aid

Aid: Financial or technical assistance given by governments (bilateral), international organisations (multilateral — e.g., World Bank, IMF), or NGOs to developing countries to promote development.

- **Types:** Tied aid (must be spent on donor-country goods), untied aid, project aid (specific infrastructure), programme aid (budget support), humanitarian/emergency aid, technical assistance.
- **Arguments for:** Fills the savings-investment gap; funds essential services (healthcare, education); provides humanitarian relief; can support institutional reform.
- **Arguments against:** May create dependency; can be diverted by corrupt governments; tied aid serves donor interests; may crowd out domestic saving and enterprise; the "aid curse" mirrors the resource curse.

Case Study: Aid Effectiveness — Comparing Ethiopia and Somalia

Ethiopia has been one of Africa's largest aid recipients (receiving over $4 billion per year), and has achieved rapid economic growth (averaging over 10% per year from 2005-2015), significant poverty

reduction, and improvements in education and healthcare. Aid was relatively well-targeted and supported government development plans. By contrast, Somalia — also a major aid recipient — has seen far less development impact due to decades of conflict, state collapse, and governance failures. Much aid has been diverted, wasted, or consumed by emergency humanitarian needs rather than long-term development. This comparison illustrates that aid effectiveness depends critically on governance, stability, and institutional quality in the recipient country.

Debt Relief

Cancelling or reducing the debt obligations of developing countries to free up resources for development spending. The Heavily Indebted Poor Countries (HIPC) Initiative (1996) and Multilateral Debt Relief Initiative (MDRI, 2005) cancelled over $100 billion of debt for the poorest countries.

Infrastructure Development

Government investment in roads, railways, ports, electricity, water supply, and telecommunications — essential for reducing costs, connecting markets, and attracting private investment.

Education and Healthcare Investment

Building human capital through investment in schools, universities, teacher training, hospitals, and public health programmes. This improves productivity, reduces infant mortality, increases life expectancy, and creates a skilled workforce.

4.3 Industrialisation Strategies

Import Substitution Industrialisation (ISI)

Replacing imports with domestically produced goods, using tariffs and quotas to protect domestic industries. Widely adopted in Latin America (1950s-80s) and India.

- **Advantages:** Develops domestic industry, reduces import dependence, creates manufacturing jobs.
- **Disadvantages:** Protected industries may remain inefficient; limited by domestic market size; retaliation from trading partners; misallocation of resources.

Export-Led Growth

Focusing on producing goods for export by exploiting comparative advantage, attracting FDI, and keeping the exchange rate competitive. The strategy adopted by the East Asian "tiger" economies (South

Korea, Taiwan, Singapore, Hong Kong).

- **Advantages:** Access to global markets; competitive pressure drives efficiency; technology transfer; foreign exchange earnings.
- **Disadvantages:** Vulnerable to global demand fluctuations; may involve low wages and poor working conditions initially; dependent on open markets in destination countries.

Case Study: South Korea's Development Transformation

South Korea is perhaps the most remarkable development success story. In 1960, its GDP per capita was comparable to Ghana's. Today, it is a high-income OECD country with GDP per capita (PPP) over $50,000 and an HDI of 0.929. The strategy combined: heavy government investment in education (near-universal literacy by the 1970s, now one of the highest university attendance rates globally); export-led industrialisation supported by strategic government intervention (targeting shipbuilding, steel, electronics, and automobiles); land reform that reduced inequality; and high savings and investment rates. However, development also came with costs — long working hours, intense social pressure, high inequality compared to other developed nations, and environmental degradation.

5. Poverty and Inequality

5.1 Absolute vs Relative Poverty

Absolute poverty: A fixed standard — living below a minimum income level needed to meet basic needs (food, shelter, clothing). The World Bank defines extreme poverty as living on less than $2.15 per day (PPP, 2022 prices). About 700 million people still live in extreme poverty.

Relative poverty: Being poor relative to others in your society. In the UK, relative poverty is typically defined as living in a household with income below 60% of the median. A person can be in relative poverty in the UK but not in absolute poverty (they can afford basic needs but are significantly poorer than most of their society).

5.2 Causes of Poverty

- **Low wages and unemployment.**
- **Lack of education and skills** — limits earning potential.
- **Poor health** — reduces ability to work and creates expenses.
- **Discrimination** — gender, race, caste, disability.
- **Geography** — rural areas often have fewer economic opportunities.
- **Conflict and political instability.**
- **The poverty trap/cycle:** Low income leads to low savings, low investment in human capital, low productivity, and continued low income — a self-reinforcing cycle.

5.3 Income and Wealth Inequality

Income inequality: Unequal distribution of income among individuals or households in an economy.

Wealth inequality: Unequal distribution of assets (property, shares, savings, pensions). Wealth inequality is typically much greater than income inequality — in the UK, the wealthiest 10% own approximately 44% of total wealth, while the bottom 50% own less than 9%.

5.4 Causes of Inequality

- **Wage differentials:** Skills, education, experience, and occupation cause large income differences.
- **Globalisation:** Benefits skilled workers and capital owners disproportionately; may reduce wages for low-skilled workers in developed countries.
- **Technological change:** Skill-biased technological change increases demand for (and wages of) skilled workers while displacing low-skilled jobs.
- **Tax and benefit system:** Regressive taxes increase inequality; progressive taxes and benefits reduce it.
- **Asset ownership:** Those who own property and shares benefit from rising asset prices — exacerbating wealth inequality.
- **Inheritance:** Wealth passed between generations perpetuates inequality.
- **Labour market changes:** Decline of trade unions, rise of gig economy, zero-hours contracts.

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6. Measuring Inequality — Lorenz Curve and Gini Coefficient

6.1 The Lorenz Curve

Lorenz curve: A graph showing the cumulative percentage of income (or wealth) received by the cumulative percentage of the population, ranked from poorest to richest. The further the Lorenz curve is from the line of perfect equality (45-degree line), the greater the inequality.

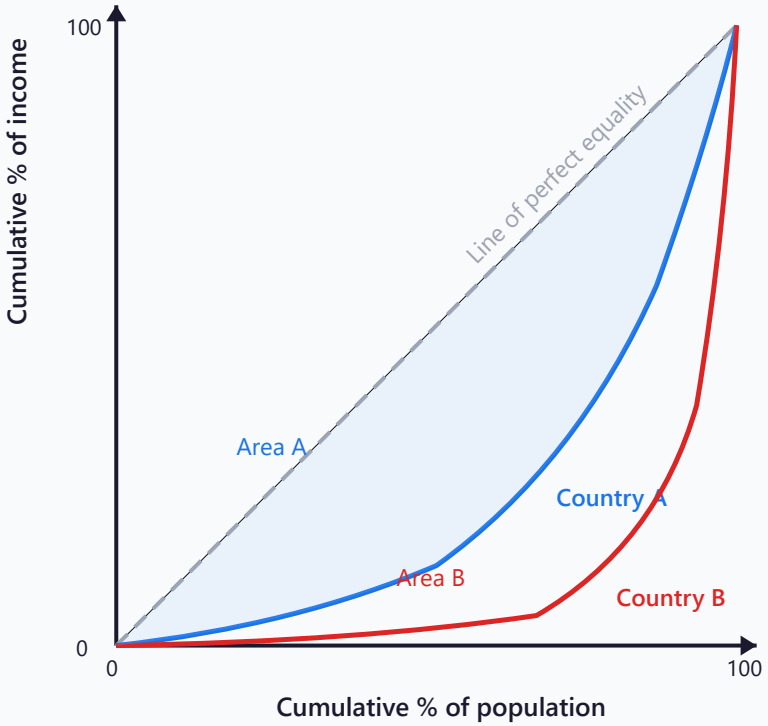

Figure 1: Lorenz curves. Country A has moderate inequality; Country B has high inequality (curve further from the line of equality). The area between the equality line and the Lorenz curve determines the Gini coefficient.

6.2 The Gini Coefficient

Gini coefficient: A numerical measure of inequality derived from the Lorenz curve, ranging from 0 (perfect equality — everyone has the same income) to 1 (perfect inequality — one person has all

the income). Calculated as the area between the line of equality and the Lorenz curve, divided by the total area under the line of equality.

$$\text{Gini} = \text{Area A} \div (\text{Area A} + \text{Area B})$$

Gini Coefficient	Interpretation	Examples
0.25 - 0.30	Low inequality	Nordic countries (Denmark 0.28, Sweden 0.29)
0.30 - 0.40	Moderate inequality	UK (0.35), France (0.32), Germany (0.32)
0.40 - 0.50	High inequality	USA (0.39), China (0.47), India (0.35)
0.50+	Very high inequality	South Africa (0.63), Brazil (0.53)

6.3 Limitations of the Gini Coefficient

- Two countries can have the same Gini but very different Lorenz curves (different patterns of inequality).
- Does not show where in the distribution the inequality lies (top, middle, or bottom).
- Measures income inequality only — does not capture wealth inequality, access to services, or quality of life.
- Data quality varies between countries and over time.
- Based on household surveys which may undercount very high and very low incomes.

Case Study: UK Inequality Trends

UK income inequality rose sharply during the 1980s (Gini rose from 0.25 in 1979 to 0.34 by 1990) due to tax cuts for high earners, deregulation, decline of trade unions, and rising unemployment. Since then, the Gini has remained relatively stable at around 0.34-0.36. However, wealth inequality has continued to widen — driven by rising house prices (homeowners benefit while renters do not), growth in financial assets, and inheritance. The COVID-19 pandemic initially compressed inequality (furlough protected low-income jobs), but the subsequent cost-of-living crisis hit lower-income households disproportionately (energy and food take a larger share of their spending). The IFS

estimates that the poorest fifth of UK households spend proportionally twice as much on energy as the richest fifth.

7. Government Policies to Reduce Poverty and Inequality

7.1 Progressive Taxation

A tax system where the marginal tax rate increases with income — higher earners pay a larger proportion of their income in tax. The UK income tax system is progressive: 0% (personal allowance up to 12,570), 20% (basic rate), 40% (higher rate), and 45% (additional rate above 125,140).

7.2 Transfer Payments and Benefits

Government payments to individuals: Universal Credit, State Pension, Child Benefit, Housing Benefit, disability allowances. These directly increase the incomes of the poorest households.

7.3 Minimum Wage

The National Living Wage (11.44/hr in 2024 for over-21s) ensures a floor on wages. Directly benefits the lowest-paid workers, though very high levels could reduce employment.

7.4 Public Services

Free or subsidised education (state schools, universities), healthcare (NHS), and housing reduce the impact of income inequality on actual living standards. The value of these "benefits in kind" significantly reduces inequality measured by consumption rather than income.

7.5 Education and Training

Investment in human capital gives people the skills to earn higher incomes — the most effective long-term strategy for reducing inequality and poverty, though it takes years to have an impact.

Evaluation: Policies to Reduce Inequality

- **Progressive taxation:** Effective at redistribution, but very high marginal rates may discourage work, enterprise, and investment — potentially reducing growth (Laffer curve argument). May

also encourage tax avoidance and evasion.

- **Benefits:** Directly reduce poverty, but may create dependency, reduce work incentives (poverty trap/unemployment trap), and are costly for the taxpayer.
- **Minimum wage:** Benefits those in work but does not help the unemployed. May cause unemployment in competitive labour markets, though evidence suggests moderate increases have little negative employment effect.
- **Trade-off between equality and efficiency:** Excessive redistribution may reduce incentives and economic growth, ultimately leaving less for everyone. However, extreme inequality can also harm growth (reduced social mobility, political instability, underinvestment in human capital).
- **Pre-distribution vs redistribution:** Some argue it is better to tackle inequality at source (education, competition policy, labour market reform) rather than relying solely on taxes and benefits after the fact.

Case Study: Nordic Model — Sweden

Sweden combines a strong market economy with an extensive welfare state. It has one of the lowest Gini coefficients (0.29) and highest HDI scores (0.947) in the world. Key features include: highly progressive taxation (top marginal income tax rate around 55%), generous universal public services (free healthcare, education through university, subsidised childcare), strong trade unions negotiating wages, active labour market policies (retraining programmes for displaced workers), and a social safety net that provides security without excessive dependency. However, Sweden has seen inequality rising since the 1990s due to financial deregulation, tax cuts, and immigration integration challenges. The model also requires very high tax rates, which may not be politically feasible in other countries.

Exam Tip: Development questions often require you to evaluate strategies. A strong answer will: (1) explain how the strategy works using economic theory, (2) use real-world examples to support your argument, (3) consider the short-run vs long-run effects, (4) discuss who benefits and who loses, (5) consider whether the strategy is appropriate for the specific country's circumstances (one size does not fit all), and (6) consider whether complementary policies are needed alongside the main strategy.

8. The Poverty Trap and Cycle of Poverty

Poverty trap (cycle of poverty): A self-reinforcing mechanism in which poverty generates conditions that perpetuate future poverty. Low income leads to low investment in human capital (education, health), low productivity, continued low income, and inability to save or invest — trapping households and communities in persistent poverty.

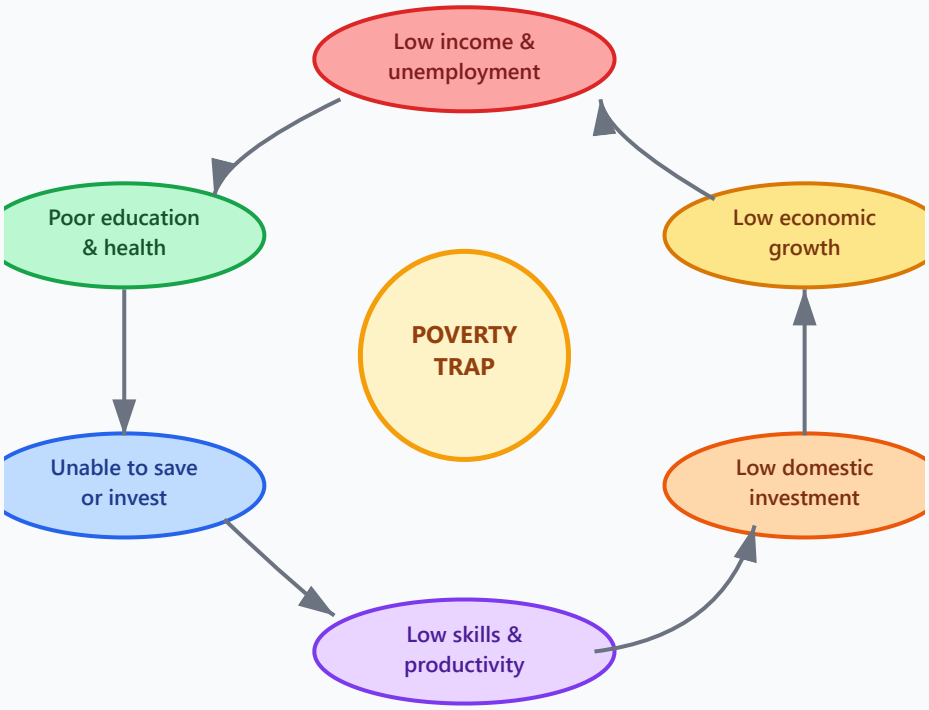

Figure 2: The poverty trap — a self-reinforcing cycle linking low income, poor education, lack of savings, low productivity, and weak investment. Breaking any link in the chain is the goal of development policy.

8.1 Breaking the Poverty Trap

Development economists identify several levers for breaking the cycle:

- **Education investment:** Conditional cash transfers (e.g. Brazil's Bolsa Família) pay families to keep children in school, directly targeting the education link. UNESCO estimates that each additional year of schooling raises individual earnings by around 8-10%.
- **Healthcare access:** Reducing disease burden increases workforce participation and productivity. The elimination of river blindness in West Africa added over 25 million hectares of arable land.

- **Microfinance and credit access:** Enabling the poor to invest in small enterprises breaks the savings/investment link.
- **Safety nets:** Income support prevents destitution and enables some saving and investment in human capital.
- **Land reform:** Secure property rights give the poor collateral to borrow against and incentives to invest in land improvements.

Evaluation: Can the Poverty Trap Be Escaped?

- **Evidence for success:** South Korea, Taiwan, and Singapore escaped poverty traps within two generations through massive public investment in education and export-led growth. Bangladesh reduced extreme poverty from 44% (1991) to under 5% (2023) largely through garment exports and microfinance.
- **However:** The pace of escape varies enormously. Sub-Saharan Africa has seen slower progress partly because of governance failures, conflict, and geography — structural barriers that make individual policy interventions insufficient.
- **The "Big Push" argument** (Rosenstein-Rodan): Some economists argue coordinated, large-scale investment across multiple sectors simultaneously is needed — otherwise individual investments do not reach critical mass. This justifies large-scale aid and government-led development.
- **Counter-argument:** Dambisa Moyo ("Dead Aid") argues aid can perpetuate dependency and undermine local institutions. Markets and trade may be more effective long-run solutions than aid-funded interventions.
- **Context matters:** There is no universal solution — the appropriate strategy depends on a country's institutions, geography, history, and stage of development.

9. The Kuznets Curve

Kuznets Curve: Simon Kuznets (1955) hypothesised that as an economy develops (GDP per capita rises), inequality first increases then decreases — forming an inverted U-shape. Early

industrialisation pulls workers into more productive (and better-paid) sectors unevenly, widening inequality. As development matures and education/redistribution spreads, inequality falls.

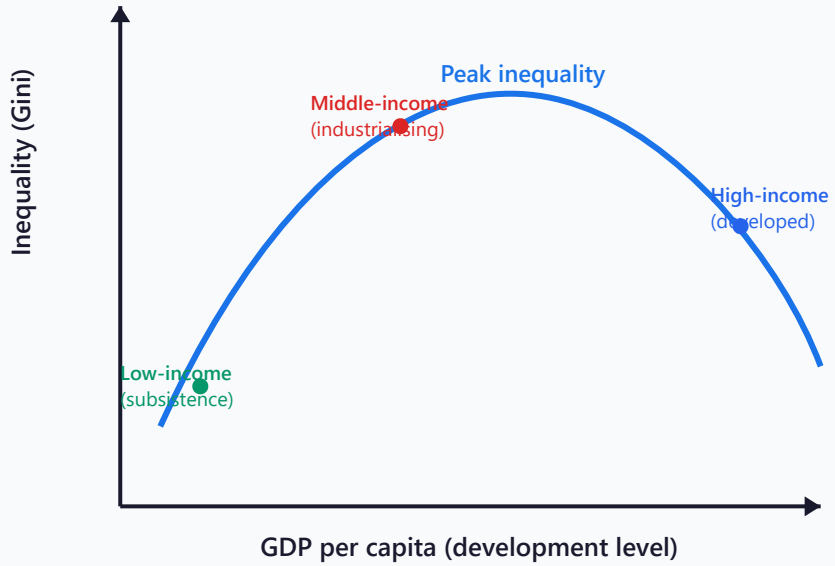

Figure 3: The Kuznets Curve — an inverted U-shape relationship between GDP per capita and inequality. Inequality rises during early industrialisation then falls as development matures.

Evaluation: Is the Kuznets Curve Valid?

- **Supporting evidence:** Many developed countries followed a broadly similar pattern — the UK's Gini rose during industrialisation (19th century) then fell through the 20th century as trade unions, progressive taxation, and welfare states developed.
- **Criticisms:** Many countries (e.g., Brazil, South Africa, parts of the Middle East) have high incomes but persistent high inequality — they have not moved down the right-hand side. China's rapid growth has widened inequality (Gini rose from 0.30 to over 0.47) even as hundreds of millions escaped poverty — challenging the automatic downward trend.
- **Does not show causality:** The curve is descriptive, not prescriptive — countries do not automatically move through stages. Active redistribution policies may be required.
- **Recent evidence:** The "great inequality reversal" in many developed countries since the 1980s — rising inequality despite high income levels — contradicts the simple Kuznets prediction.

Technology, globalisation, and declining union power have increased inequality in the USA and UK despite high GDP.

- **Environmental Kuznets Curve:** A similar hypothesis applies to pollution — pollution initially rises with development then falls as countries become rich enough to afford clean technology and regulation. Again, evidence is mixed.

10. International Comparisons of Development

Country	GNI per capita PPP ($)	HDI (2022)	Gini Coefficient	Key Development Feature
Norway	82,500	0.966	0.26	Oil wealth + strong institutions + social democracy
UK	49,500	0.940	0.35	High services sector; rising inequality since 1980s
China	21,000	0.768	0.47	Rapid growth + high inequality; environmental costs
Brazil	15,200	0.760	0.53	Middle-income trap; high inequality despite growth
India	8,900	0.644	0.35	Fast growth; HDI lower than income rank suggests
Nigeria	5,200	0.535	0.43	Oil-rich but poor human development (resource curse)
Niger	1,200	0.400	0.34	Lowest HDI globally; high population growth

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Case Study: The Resource Curse — Nigeria

Nigeria is Africa's largest economy by GDP and has abundant oil and gas reserves — yet it has an HDI of just 0.535, placing it in the "medium human development" category alongside countries with far lower incomes. This is the "resource curse" (or "paradox of plenty"): oil wealth has generated revenue for elites and fuelled corruption rather than broad-based development. Government oil revenues have often been misallocated or stolen — Nigeria lost an estimated $400 billion to corruption between 1960 and 1999. The dependence on oil has suppressed other industries (Dutch Disease — a strong oil-backed exchange rate makes non-oil exports uncompetitive). Life expectancy is just 55 years, 63% of Nigerians live in multidimensional poverty, and electricity supply remains unreliable. The Nigerian experience illustrates that natural resource wealth is neither necessary nor sufficient for development — institutions, governance, and economic diversification matter far more.

Case Study: Brazil — Tackling Inequality with Bolsa Família

Brazil has long had one of the world's highest Gini coefficients (~0.53), reflecting extreme inequality between a wealthy minority and a large poor majority — rooted in its colonial history, land concentration, and racial discrimination. From 2003, President Lula's Bolsa Família programme (conditional cash transfers) provided monthly payments to poor families contingent on school attendance and health checks. By 2014, it covered 14 million families (over 50 million people) at a cost of under 0.5% of GDP. The programme reduced extreme poverty from 9.7% to 4.3% and contributed to a fall in the Gini from 0.59 to 0.53. However, structural inequality remained high — Brazil's inequality is deeply rooted in land ownership and racial disparities that conditional cash transfers alone cannot address. The gains were partially reversed during the economic crisis of 2015-16 and the Bolsonaro government's cuts.

Exam Tips — Inequality and Development Questions

- **Define carefully:** Distinguish absolute from relative poverty; income from wealth inequality; economic growth from development. Examiners reward precision.
- **Use specific data:** Gini coefficients, HDI scores, poverty headcount ratios, and policy costs make answers much more convincing than vague claims.
- **Evaluate policy effectiveness:** Always consider the difference between short-run and long-run effects; who benefits and who loses; whether complementary policies are needed; and whether

the context (governance quality, level of development) makes the policy viable.

- **Consider trade-offs:** Progressive taxation may reduce inequality but could reduce incentives (Laffer curve); free trade may reduce global inequality but widen within-country inequality; growth may eventually reduce poverty but at environmental cost.
- **Contextualise:** What works in Sweden (strong institutions, high trust, developed tax system) may not work in sub-Saharan Africa. Acknowledge that development paths are country-specific.